CEMIG

Brazil | Market Perform

March 20, 2026 | 4Q25 Review

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Better-Than-Anticipated Results

Release Date: Thu, Mar 19 (After Market)

Positive. Cemig's adjusted recurring EBITDA for 4Q25 was above our estimate and consensus figures; however, it decreased by approximately 6% YoY. Additionally, Cemig announced BRL 658 million in Interest on Capital, representing a yield of around 1.7%.

- **Adjusted recurring EBITDA (excluding equity income, VNR, and other non-cash/non-recurring items) was BRL 1,757 million, 8% above our estimate of BRL 1,626 million and also above the consensus figures.** The distribution business surpassed our expectations, mainly due to better-than-expected billed volumes and PMS expenses.
- **In 4Q25, Cemig reduced its short position for 2026, 2027, and 2028 by 124 MWavg, 60 MWavg, and 93 MWavg, respectively. This marks the first time in 2025 that Cemig has reduced its short position in the long term (2028), particularly given the scenario of rising energy prices.**
- **Leverage increased QoQ, reaching 2.3x net debt/EBITDA in the quarter, up from 1.76x in 3Q25.**
- **Cemig announced BRL 658 million in Interest on Capital (IoC) (BRL 0.23/share).** This announcement represents a yield of approximately 1.7%. The stock will trade ex-rights from March 25, 2026, and the payment will occur in two equal installments by June 30, 2027, and December 30, 2027. The company had already announced BRL 2.8 billion in dividends plus IoC related to its 2025 results. **Total dividends and IoC related to the 2025 results amount to BRL 3.5 billion, which implies a yield of around 9.1% considering the latest stock closing price.**

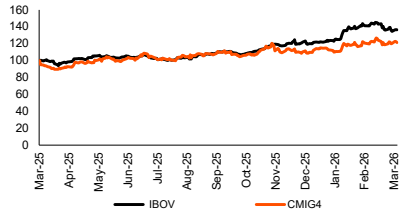
4Q25 results compared to expectations. Cemig's 4Q25 EBITDA (excluding equity income, VNR, and other non-cash/non-recurring items) was BRL 1,757 million, above our estimate of BRL 1,626 million. The EBITDA beat came mainly from the distribution segment. Overall, the recurring EBITDA (excluding VNR and other non-recurring items) from the distribution segment reached BRL 962 million, representing a 4% increase year-on-year. Billed volumes saw a 1.4% increase year-on-year, considering the effects of compensated energy from DEG, which was better than our expectation despite the yearly reduction. The company's energy losses remained flat sequentially, ending at 11.42%, slightly below the regulatory level of 11.46%. On the opex front, PMS expenses came in better than expected, which also explains the segment's better-than-anticipated results. The recurring GT plus holding EBITDA (excluding equity income, IFRS, and non-cash effects) was BRL 586 million, slightly above our estimate of BRL 549 million, mainly due to better-than-expected energy purchase costs, despite the yearly increase in the line during the period, following the significant GSF impact at higher prices. Cemig's energy trading desk faced pressure from its short exposure to spot prices, as anticipated. This led to an EBITDA reduction of BRL 184 million to close open positions. Gasmig reported an EBITDA of BRL 184 million, up 2.8% and below our expectations. Cemig SIM, on the other hand, reported an EBITDA of around BRL 24 million, significantly exceeding our estimates. On the equity income line, reported figures totaled BRL 41 million, representing a 24% year-on-year increase while remaining broadly flat QoQ. The yearly increase was driven by an improvement in Belo Monte's results, which was, however, still partially offset by weaker contributions from Taesa. On the bottom line, Cemig's adjusted net income reached BRL 1.023 billion, above our estimates, mainly reflecting the EBITDA beat discussed above.

Ticker (local)	CMIG4
Target Price - BRL(YE26)	11.35

Stock Data

Current price	BRL	12.24
Upside (YE26)	%	-7.3
52 Week high/low	BRL	12.44/9.81
Shares outstanding	th	2,861,782
Market capitalization	BRL m	38,558
3-mth avg daily vol.	BRL m	144
Performance (%)	1m	12m
Absolute	1.4	24.2
Vs. Ibovespa	4.8	-10.0

Company x Ibovespa



Source: Itaú BBA

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CEMIG – 4Q25 Results

BRL mn	4Q25a	4Q25e	A/E	4Q24a	YoY (%)	3Q25a	QoQ (%)
Net Revenue (ex-construction)	11,501	10,948	5.1%	11,177	2.9%	9,019	27.5%
Expenses (ex-D&A)	-11,501	-9,322	23.4%	-9,298	23.7%	-7,585	51.6%
EBITDA Margin	15.3%	15%	42 bps	17%	-146 bps	17%	-151 bps
EBITDA adjusted by non-recurring (ex-VNR and ex-non cash)	**1,757**	**1,626**	**8.0%**	**1,870**	**-6.1%**	**1,514**	**16.0%**
Reported Net Income	1,876	890	110.8%	998	88.0%	797	135.4%
Adjusted Net Income	1,023	890	14.9%	1,166	-12.3%	780	31.2%

Source: Itaú BBA

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Market Perform	The analyst expects the stock to perform in line with market average.	36%	40%
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Cia Energetica Minas Ger-Prf	CMIG4	11.92	MP	X			X			

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